

CREDIT & ESG INVESTMENT MEMORANDUM

Proprietary Framework for Qantara ASB

SUBJECT: Valuation Analytics: Zambia \$275M Electrification Debt-for-Development Swap

FRAMEWORK: SFDR Article 8 Alignment & Blended Finance Integration

STRATEGY: Dynamic Spread Overlay & Sovereign Risk Premium Compression

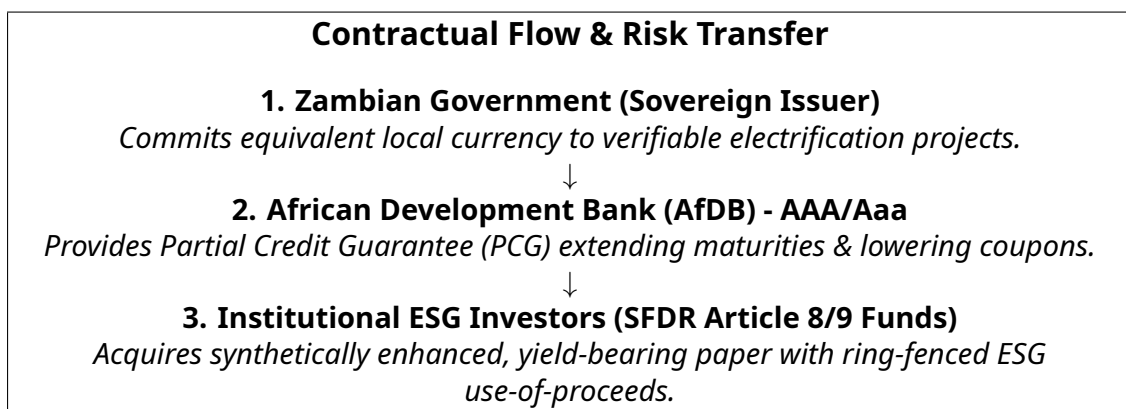
1. Executive Summary & Strategic Rationale

The structural evolution of African fixed-income markets has created distinct arbitrage opportunities for funds integrating ESG mandates. The recent \$275M USD debt-for-development swap engineered for the Republic of Zambia represents a watershed moment for European institutional capital, specifically under the Sustainable Finance Disclosure Regulation (SFDR) Article 8 framework.

By redirecting commercial debt servicing toward domestic electrification and sustainable infrastructure, the sovereign fundamentally alters its debt sustainability trajectory. For Qantara ASB, this instrument offers a dual mandate fulfillment: delivering tangible sustainability-linked metrics while capitalizing on the massive, mispriced risk premium compression that follows the multilateral credit enhancement.

2. The Credit Enhancement Structure

To understand the mispricing, we must map the contractual chain of the blended finance structure. The presence of a AAA-rated multilateral institution systematically de-risks the exposure for institutional allocators.



3. Risk Premium Compression Analytics

When an innovative debt swap is executed, the market historically lags in repricing the remaining liquid Eurobonds. We model the sovereign risk premium (Δ_s) as a function of the default probability (p) and the Loss Given Default (LGD):

$$\Delta s \approx p \times LGD \quad (1)$$

The debt swap directly reduces p by smoothing out the near-term maturity profile and reducing overall debt service ratios (DSR). Furthermore, the AfDB's partial guarantee structurally reduces the LGD for participants in the specific facility.

Sovereign Scenario	Est. Def. Probability (p)	Loss Given Default (LGD)	Implied Sovereign
Pre-Restructuring Baseline	12.0%	60%	720 bps
Post-Multilateral Guarantee	4.5%	35%	157.5 bp
Net Spread Compression	-7.5%	-25%	-562.5 bp

Table 1: Structural Sensitivity of the Zambia Repricing Matrix

4. Application for Qantara ASB Portfolio Optimization

This quantitative repricing dynamic directly informs the *Dynamic Spread Optimizer* engine. When the model detects an impending debt-swap or PCG facility announcement, it triggers a tactical overlay.

By capturing the 562.5 bps spread compression systematically, we transition the portfolio from a defensive supranational posture (e.g., BOAD, Afreximbank) back into the targeted sovereign immediately following the risk-mitigation event. This generates alpha while maintaining strict compliance with European ESG screening criteria.